

44,500 (more than the 40,000 ATMs added post-demonetisation). In April, Australian fintech firm Findi announced that it had orders for 7,000 ATMs. The importance of the ATM channel, a guzzler of cash, is set to go up. Anush Raghavan, President, of Cash Management Solutions, CMS Info Systems, says in FY24, the average monthly ATM cash withdrawals increased 5.51% to ₹1.43 crore, “underscoring the pivotal role of cash in a dynamic, diverse payments ecosystem.” ATM deployments may increase now that the interchange fee (what a bank must pay when a customer uses the plastic issued by it on another bank’s ATM) has been hiked from ₹17 to ₹19. The charge after five transactions has been increased from ₹21 to ₹23. Also, every new bank branch must have at least one on-site ATM or a recycler, which allows a customer to withdraw and deposit cash. The cost of a cash transaction at a branch is about ₹60; recyclers reduce it.

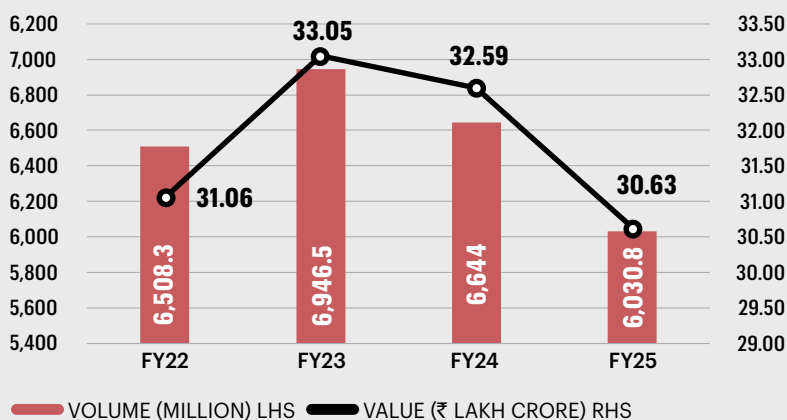
How is the branch story panning out? The RBI’s Report on Trend and Progress of Banking in India FY24 observes: “Despite fast-paced digitalisation in India, the number of commercial bank branches per lakh population increased 1.5 times during the period 2010 to 2023”. In FY24, we had 130,905 bank branches. Of the 5,379 new branches during this period, 41.9% were opened in centres with a population of less than 50,000. The central bank notes: “While banks are increasingly emphasising digital channels, physical branches remain the core of customer engagement.”

What is also to be watched out for is how CiTs shape up. As of date, banks outsource cash processing activities at their currency chests (CC) to CiTs.

NOT DONE YET

- The importance of the ATM channel has reduced but not much
- In FY24, the average monthly withdrawal rose 5.51% to ₹1.43 crore

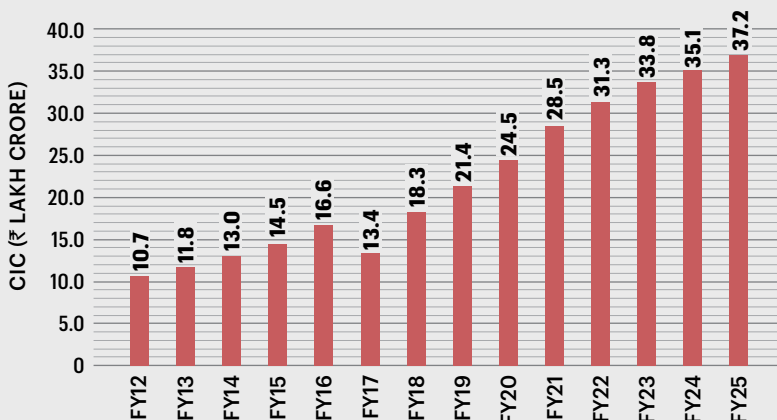
CASH WITHDRAWAL AT ATMs



SOURCE RBI

UP AND UP

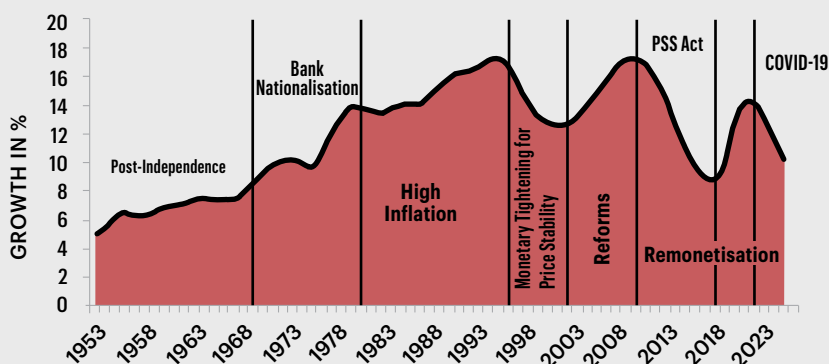
- Cash in circulation up more than three times since FY12
- Commercial bank branches grew 1.5x from 2010 to 2023



NOTE CIC IS CURRENCY IN CIRCULATION SOURCE IND-RA

CIC GROWTH

- Month-wise analysis shows that nominal CiC growth averaged 8.4% till June 2023
- The movements in the trend growth path mirror important episodes in Indian history



SOURCE RBI